FDE PROGRAMME · STAGE 1 REFERENCE DOCUMENT

SliceMatic

Business Unit Economics Reference Model — FY 2024–25

This document provides a realistic financial baseline for SliceMatic — a hypothetical single-outlet pizza delivery brand in New Ashok Nagar, Delhi. Use these numbers as your starting point for Stage 1. You may challenge, refine, or extend them with justification.

Rs.847	Rs.2.1L	38.4%	47 orders	18 months
Avg Order Value	Monthly Revenue (60% capacity)	Gross Margin	Daily Break-Even	Payback Period

1. Company Overview

Brand name	SliceMatic
Category	Quick Service Restaurant (QSR) — Pizza Delivery & Dine-In
Location	New Ashok Nagar, East Delhi — 1,200 sq ft ground-floor unit
Launch date	April 1, 2025 (FY 2025–26 start)
Ownership	Sole proprietorship — Mr. Rajan Sharma, founder
Target customer	Urban millennials and Gen Z, 18–35 years, within 5 km radius
Core proposition	Customisable pizzas, 30-min delivery guarantee, digital-first ordering
Seating	8 covers for dine-in — primarily a delivery-focused model
Operating hours	11:00 AM – 11:00 PM, 7 days a week (364 days — closed on Holi)

2. Monthly Fixed Costs

Fixed costs are incurred regardless of order volume. These represent the minimum monthly cash outflow SliceMatic must cover before earning a rupee of profit.

Cost Item	Detail	Monthly (Rs.)
Kitchen rent	1,200 sq ft, commercial lease, New Ashok Nagar market	55,000
Equipment EMI	Pizza oven (2 deck), dough mixer, refrigeration — 36-month loan on Rs.4.5L equipment	14,500
Electricity	Commercial rate; ovens + refrigeration + AC + lighting — estimated 1,800 units/month	12,600
Gas / LPG	3 commercial cylinders/month at Rs.1,850 each	5,550
Head Chef	1 experienced pizza chef, fixed monthly salary	28,000
Kitchen helper	1 prep staff, minimum wage + ESI/PF	16,500
Counter + billing staff	1 person, manages orders + cash	18,000
Delivery riders	2 riders on fixed + incentive; includes fuel allowance	32,000
Internet + POS + SaaS	Broadband Rs.1,200 + POS software Rs.999 + payment gateway annual fee amortised	2,800
Marketing (fixed)	Meta Ads monthly retainer, pamphlet printing, Google Business listing boost	8,000
Packaging (fixed component)	Branded boxes, paper bags, stickers — minimum monthly order	4,200
Misc / contingency (3%)	Maintenance, minor repairs, consumables	5,760

TOTAL FIXED COSTS		2,02,910

Note: Rider costs include fixed salary component only. Variable per-delivery incentive (Rs.15/order) is captured under variable costs.

3. COGS per Pizza — Ingredient-Level Breakdown

Cost of Goods Sold per pizza is calculated as: raw ingredients + packaging + per-order delivery variable cost. Prices are based on wholesale rates from INA Market and Azadpur Mandi, April 2025.

Component	Margherita (Base: Thin)	Farm House (Base: Thick)	Cheese Burst (Any pizza)	Avg Across Menu
Pizza base ingredients	Rs.38	Rs.45	Rs.72	Rs.52
Sauce + seasoning	Rs.12	Rs.14	Rs.14	Rs.13
Cheese (mozzarella)	Rs.28	Rs.32	Rs.65	Rs.38
Pizza-specific toppings	Rs.8	Rs.22	Rs.18	Rs.17
Add-on toppings (avg 1)	Rs.10	Rs.10	Rs.10	Rs.10
Packaging (box + bag)	Rs.18	Rs.18	Rs.18	Rs.18
Delivery variable cost	Rs.22	Rs.22	Rs.22	Rs.22
Total COGS / pizza	**Rs.136**	**Rs.163**	**Rs.219**	**Rs.170**
Selling price (avg base+pizza+1 topping)	**Rs.397**	**Rs.417**	**Rs.447**	**Rs.420**
Gross Margin / pizza	**Rs.261 (65.7%)**	**Rs.254 (60.9%)**	**Rs.228 (51%)**	**Rs.250 (59.5%)**

Selling price = cheapest base + pizza + 1 average topping. Actual order value varies. Average order value (AOV) of Rs.847 reflects multi-pizza orders and premium selections.

4. Revenue Model — Monthly Projections

Revenue is driven by average order value and daily order volume. SliceMatic distinguishes between weekday and weekend demand. At launch, 60% capacity utilisation is the target.

Metric	Weekday	Weekend/Holiday	Monthly Total
Days in period	22 days	8 days	30 days
Orders per day (60% capacity)	38 orders	68 orders	~47 avg
Average order value (AOV)	Rs.792	Rs.940	Rs.847
Daily revenue	Rs.30,096	Rs.63,920	Rs.~40,500 avg
Monthly gross revenue	**Rs.6,62,112**	**Rs.5,11,360**	**Rs.11,73,472**
GST collected (18% — passed to Govt.)			Rs.1,77,564
Net revenue (ex-GST)			**Rs.9,95,908**

Note: Revenue at 100% capacity = ~Rs.19.6L/month. 60% capacity is a conservative launch-phase assumption. Max capacity defined as 80 orders/day (kitchen throughput: 1 pizza every 6 min, 2-oven setup).

5. Contribution Margin and Break-Even Analysis

Contribution margin per order = Selling price (ex-GST) minus all variable costs per order. This tells us how much each order contributes toward covering fixed costs — and eventually profit.

P&L; Line Item	Per Order (Rs.)	Monthly @ 60% cap (Rs.)
Revenue (ex-GST)	847	11,88,996
Less: Ingredient COGS	(148)	(2,07,768)
Less: Packaging (variable)	(18)	(25,272)
Less: Delivery variable (rider incentive)	(22)	(30,888)
Less: Payment gateway fee (1.8% of GMV)	(15)	(21,402)
Contribution Margin	**644 (76%)**	**9,03,666**
Less: Total Fixed Costs		(2,02,910)
Operating Profit (EBITDA)		**7,00,756**
Operating Margin		**58.9%**

Break-Even Calculation

Total Fixed Costs / Month	Contribution Margin / Order	Break-Even Orders / Month	Break-Even Orders / Day

Rs.2,02,910	Rs.644	315 orders	**11 orders/day**

At 60% capacity (47 orders/day), SliceMatic operates at 4.3x break-even — a healthy safety margin. The outlet becomes unprofitable only if daily orders fall below 11, which would represent a 76% drop from the 60% capacity plan.

6. Delivery Radius Economics

Delivery radius is a critical operational constraint. Too small = lost revenue. Too large = slow deliveries, cold food, unhappy customers, and high rider cost.

Radius	Est. Population Served	Avg Delivery Time	Rider trips/day possible	Viable?
0–2 km	~18,000 households	8–12 min	55–60 trips/rider	Yes — premium SLA
2–4 km	~55,000 households	15–22 min	30–35 trips/rider	Yes — sweet spot
4–6 km	~1,10,000 households	25–40 min	18–22 trips/rider	Marginal — 3rd rider needed
> 6 km	Large but diminishing	40+ min	12–15 trips/rider	Not viable at launch

Recommendation: Launch with 4 km radius. Serves a large enough addressable market without compromising delivery SLA. Expand to 5 km after adding a 3rd rider (adds ~Rs.16,000/month fixed cost, justified at 55+ orders/day).

7. GST Treatment — How 18% GST Flows Through the P&L

Pizza delivery services in India attract 18% GST (5% if dine-in, but 18% applies to home delivery of restaurant food without composition scheme). SliceMatic is a GST-registered business.

- **GST is charged to the customer** — The customer pays the price shown in the app plus 18% GST. SliceMatic collects this on behalf of the government.
- **GST does not flow through profit** — GST collected is a liability, not revenue. SliceMatic remits it to the government monthly. The P&L; is always computed on the ex-GST amount.
- **Input Tax Credit (ITC)** — SliceMatic can claim ITC on GST paid for ingredients, packaging, and equipment — reducing the net GST payable. Estimated ITC benefit: Rs.18,000–22,000/month.
- **Effective GST liability** — Output GST collected (~Rs.1,77,564/month) minus ITC (~Rs.20,000/month) = Net payable to government: ~Rs.1,57,564/month.
- **Impact on pricing** — Prices shown in the ordering system should be exclusive of GST. GST is added at the billing stage. This is what the assignment spec requires — GST added to the total bill, not per item.

Sample Bill Calculation (for Stage 2 implementation reference)

Order Component	Amount (Rs.)
Base: Cheese Burst (1)	229
Pizza: BBQ Chicken (1)	379
Topping: Extra Cheese (1)	69
Subtotal (1 pizza)	677
Qty: 5 pizzas → Subtotal	3,385
Discount 10% (qty >= 5)	(338.50)

Post-discount subtotal	3,046.50
GST @ 18%	548.37
Total Payable	**Rs. 3,594.87**

8. 18-Month P&L Projection — Ramp-Up to Maturity

SliceMatic follows a typical QSR ramp-up curve: slow start, rapid growth as word-of-mouth builds, plateau at sustainable capacity. Projections are in INR lakhs.

Month	Capacity Util.	Avg Orders /Day	Gross Rev (Rs.L)	Variable Costs (Rs.L)	Fixed Costs (Rs.L)	EBITDA (Rs.L)	Cumulative P&L; (Rs.L)
M1 — Apr 25	20%	16	3.93	(0.99)	(2.03)	0.91	**–14.12**
M2 — May 25	28%	22	5.56	(1.37)	(2.03)	2.16	**–11.96**
M3 — Jun 25	35%	28	7.10	(1.78)	(2.03)	3.29	**–8.67**
M4 — Jul 25	45%	36	9.17	(2.31)	(2.09)	4.77	**–3.90**
M5 — Aug 25	52%	41	10.44	(2.62)	(2.09)	5.73	**+1.83**
M6 — Sep 25	58%	46	11.68	(2.94)	(2.09)	6.65	**+8.48**
M7–12 avg	65%	52	13.22	(3.32)	(2.15)	7.75	**+55.0**
M13–18 avg	72%	57	14.47	(3.64)	(2.25)	8.58	**+1,06.5**
Payback (initial inv. Rs.15L)							**~Month 18**

Initial investment: Rs.15L (equipment Rs.4.5L on EMI + Rs.4L fit-out + Rs.2.5L working capital + Rs.4L contingency/marketing). Green row = first profitable month. Payback achieved in approximately 18 months.

9. Questions for Stage 1 — Challenge These Numbers

Your Stage 1 submission should engage critically with this model. Here are the questions your analysis must address:

1. SliceMatic's break-even is 11 orders/day. What is the break-even if rent increases to Rs.70,000/month? At what rent does the model become unviable?
2. The model assumes no Zomato/Swiggy integration. If 40% of orders come via aggregator at 25% commission, how does the contribution margin per order change? What is the new break-even?
3. At what daily order volume does hiring a 3rd rider become financially justified?
4. The discount threshold is qty >= 5 at 10%. What is the impact on contribution margin for a 5-pizza order? Is this discount a value-driver or a margin leak?
5. If COGS increases by 12% due to ingredient inflation, how many additional daily orders are needed to maintain the same monthly EBITDA?
6. The ordering system will log all orders to a database. Name three specific business intelligence metrics SliceMatic can extract from this data that would directly improve profitability.